

TOPIC 03

Building the evidence

Options, cost and risk — the case a board can act on

From diagnosis to evidence

you've proved the problem — now build the answer

- A board doesn't fund a problem — it funds a well-evidenced answer.
- Three moves: lay out the options → cost them over time → weigh the risks.
- These become the next sections of the same business case.
- You still don't recommend yet — you assemble the evidence a recommendation rests on.

01

SECTION

Options & evaluation

compare before you choose

You don't recommend until you've compared

- A single proposal isn't a case — it's an assertion.
- Credible advice compares realistic options on a level field.
- Your job here: lay the options out and evaluate them — not pick one.

Define the workload first

options are judged against it

- Before comparing options, state what any option must satisfy — from your gap analysis + the migration requirements:
 - capacity & peaks · availability target · recovery (RPO/RTO)
 - data residency & retention · integrations
- Write it down first — it's the yardstick every option is measured against.

Identify the realistic options

- Keep the option set honest and small:
 - Option A – renew / stay on-prem (the status-quo baseline)
 - Option B – migrate to the cloud
- Name a third only if it's genuinely real.
- Every comparison needs the status-quo option – or “moving” has nothing to beat.

Choosing an evaluation method

criteria, not gut feel

- Evaluate each option on two stated lenses:
 - Impact against the strategic objectives — does it move the org toward its goals?
 - Difficulty of implementing — effort, disruption, skills, dependencies
- Score each option on each lens and show your reasoning. (Cost comes next.)

Impact & difficulty — a first read

- A simple matrix communicates it: each option $\times$ {impact, difficulty}.
- High impact + low difficulty = strong candidate.
- High impact + high difficulty = real, but plan for it.
- This is the qualitative shortlist — the CBA and risk sections test it next.

ACTIVITY

Define the options & evaluate

- In your working copy of the Business Case, add the Options Considered and Evaluation section for the Accounting System (Ledgerline).
- Remember to:
 - State the workload/requirements an option must satisfy (from your gap table + migration reqs).
 - Lay out Option A (renew on-prem) and Option B (migrate to cloud).
 - Pick an evaluation method; assess each option's impact (vs objectives) and difficulty.
- ~½–1 page.
- ⚠ Evaluate, don't decide — the recommendation comes later.



~20 min, then we discuss

Key takeaways

Section 1 · Options & evaluation

Compare realistic options on a level field — always include the status-quo.

Define the workload/requirements first; options are judged against it.

Evaluate on stated criteria: impact vs objectives + implementation difficulty.

This is evaluation, not the decision.

02

SECTION

Cost-Benefit Analysis

put a number on it

Put a number on it

- A CBA compares the options in money, over time — here, 5 years.
- It turns “cloud feels cheaper” into evidence — or disproves it.
- The board decides on total cost + benefit, not a monthly price.

What a good CBA contains

becomes §7 + Appendix 1

- Assumptions → per-option 5-year costs → benefits (incl. avoided downtime) → comparison → sensitivity.
- Compare like-for-like over the same horizon.
- State every assumption – an unstated assumption is a hole in the case.
- Detailed line items go in Appendix 1; the section shows the summary.

Costing the on-prem option (Option A)

- Option A = renew / keep on-prem. Cost it from the operational-costing facts:
 - capex (server refresh) + opex (power, maintenance, licences, admin time), over 5 years
- Watch software licensing (Windows / SQL Server) – it rides on BOTH options; don't drop it.

AWS Pricing Calculator

size the cloud option before you build it

■ Use it to:

- estimate monthly costs and find ways to reduce them
- model a solution before building it
- find instance types & contract terms; group services into an estimate

■ calculator.aws

AWS Pricing Calculator
Estimate the cost for your architecture solution.

Configure a cost estimate that fits your unique business or personal needs with AWS products and services.

Create an estimate
Start your estimate with no commitment, and explore AWS services and pricing for your architecture needs.
[Create estimate](#)

How it works

The workflow consists of four steps:

- AWS Pricing Calculator**
Estimate the cost of AWS products and services
- Add services**
Search and add AWS services that you need
- Configure service**
Enter the details of your usage to see service costs
- View estimate totals**
See estimated costs per service, service group, and totals

Getting started

- [What is the AWS Pricing Calculator?](#)
- [Getting started](#)
- [Generating estimates](#)

More resources

- [User guide](#)
- [FAQs](#)
- [Pricing assumptions and variations](#)
- [Need help with estimation? Connect with AWS certified expert on AWS IQ](#)

ACTIVITY

Build a cost estimate

- In groups, use the AWS Pricing Calculator + the supplied specifications to build a cost estimate for the cloud option.
- Remember to:
 - Size the Accounting System's compute, storage, database and data transfer.
 - Name your estimate; group the services; capture the monthly + annual figures.
 - Be ready to report your findings back to the class.
- This estimate feeds your CBA (Option B).
-  [calculator.aws](#)



~20 min, then report back

Assembling the CBA — compare & test it

the part the calculator doesn't do

- 5-year comparison summary: Option A vs Option B, like-for-like.
- Avoided-downtime benefit — value the reliability gain, don't just assert it.
- Sensitivity: which one or two assumptions would flip the answer?
- A CBA with no sensitivity check reads as overconfident.

ACTIVITY

Build the 5-year CBA

- In your working copy of the Business Case, add the Cost-Benefit Analysis (§7) + Appendix 1 for the Accounting System.
- Remember to:
 - Cost Option A (renew on-prem) from the operational-costing doc.
 - Size Option B using your Pricing Calculator estimate.
 - State assumptions; build the 5-year comparison; add avoided-downtime + a sensitivity note.
- ~1 page + Appendix 1 line items.
- ⚠ Like-for-like, same horizon; every figure traceable to an assumption or source.



~30 min, then we compare

Key takeaways

Section 2 · Cost-Benefit Analysis

A CBA compares options in money over a fixed horizon — total cost + benefit, not a monthly price.

State every assumption; detail goes in Appendix 1.

Size the cloud option with the Pricing Calculator; assemble the comparison yourself.

Always include avoided-downtime benefit and a sensitivity check.

03

SECTION

Risk & impact

what money doesn't capture

Money isn't the whole story

- Two options can cost the same and carry very different risk.
- Risk & Impact is the qualitative complement to the CBA:
 - the intangibles, and the things that could go wrong

Intangibles comparison

what a dollar figure misses

- Name the qualitative factors, per option:
 - staff skills / learning curve · vendor lock-in · agility & scalability
 - security posture · business continuity · disruption during change
- The cheaper option may carry the bigger intangible cost.

The risk register

- For the direction you're heading, list the real risks:
 - Risk → Likelihood → Impact → Mitigation
- Keep it specific to this migration: data-migration error, cutover downtime, cost overrun, skills gap.
- A risk with no mitigation is just a worry; a mitigation makes it manageable.

ACTIVITY

Add the Risk & Impact assessment

- In your working copy of the Business Case, add the Risk and Impact Assessment (§8) for the Accounting System.
- Remember to:
 - Compare the intangibles of Option A vs Option B.
 - Build a risk register (risk → likelihood → impact → mitigation) for the cloud direction.
- ~½–1 page.
- ⚠ Specific risks with real mitigations – not generic “things might go wrong”.



~20 min, then we discuss

Key takeaways

Section 3 · Risk & impact

Cost isn't everything – compare the intangibles too.

A risk register: risk → likelihood → impact → mitigation, specific to this change.

Together with the CBA, this is the full evidence base for a decision.

From evidence to decision

You've built the evidence: options laid out, costed over 5 years, risks weighed.

That's the analytical core of a business case — everything a board needs to choose.

You still haven't recommended — that's the next move.

Next: make the call, justify it, and turn it into an action plan.